THE BURTON INN

PROJECTED ANNUAL OPERATING BUDGET - STABILIZED YEAR

eb20261113

OPERATING	*"THE BURTON INN"*, VASHON ISLAND	SHARED	INN ROOMS	FOOD & BEV
ESTIMATED TOTALS	SHARE OF REVENUE	100.0%	29.7%	70.3%
STABILIZED YEAR	PROJECTED GROSS REVENUE	$671,390	$199,290	$472,100
$468,925.52	ANNUAL BUDGET SUMMARY	$105,641.70	$64,168.82	$299,115.00
$39,077.13	MONTHLY ALLOCATION	$8,803.48	$5,347.40	$24,926.25
	COST AS % OF REVENUE	15.7%	32.2%	63.4%

			ANNUAL BUDGET DETAILS	SHARED	INN ROOMS	FOOD & BEV
		4.2%	**Property Costs - Tier One**			
$	8,500.00	43.6%	Real estate taxes (actual) **	$ 8,500.00	$ -	$ -
$	6,500.00	33.3%	Building insurance **	$ 6,500.00	$ -	$ -
$	4,500.00	23.1%	Routine maintenance and upkeep **	$ 4,500.00	$ -	$ -
$	**19,500.00**	**100.0%**	**Total Property Costs**	**$ 19,500.00**	**$ -**	**$ -**
		7.7%	**Utilities**			
$	33,000.00	91.7%	Power, water, garbage, internet *	$ 33,000.00	$ -	$ -
$	3,000.00	8.3%	Septic service ***	$ 3,000.00	$ -	$ -
$	**36,000.00**	**100.0%**	**Total Utilities**	**$ 36,000.00**	**$ -**	**$ -**
		83.9%	**Operational Expenses**			
$	21,462.00	5.5%	Housekeeping labor	$ -	$ 21,462.00	$ -
$	8,176.00	2.1%	Laundry and linens	$ -	$ 8,176.00	$ -
$	6,132.00	1.6%	Room amenities	$ -	$ 6,132.00	$ -
$	22,420.12	5.7%	Booking platform commissions	$ -	$ 22,420.12	$ -
$	137,880.00	35.1%	Food and beverage cost of goods	$ -	$ -	$ 137,880.00
$	147,072.00	37.4%	Kitchen, bar and counter labor	$ -	$ -	$ 147,072.00
$	20,141.70	5.1%	Credit card fees	$ -	$ 5,978.70	$ 14,163.00
$	24,000.00	6.1%	Business insurance and licenses	$ 24,000.00	$ -	$ -
$	6,000.00	1.5%	Software, POS and marketing	$ 6,000.00	$ -	$ -
$	**393,283.82**	**100.0%**	**Total Operational Expenses**	**$ 30,000.00**	**$ 64,168.82**	**$ 299,115.00**
$	**20,141.70**	**4.3%**	**3% Repair and Replacement Reserve**	**$ 20,141.70**	**$ -**	**$ -**
$	**468,925.52**	**100.0%**	**TOTAL ANNUAL OPERATING BUDGET**	**$105,641.70**	**$64,168.82**	**$299,115.00**

		% REV.	RENT AND RESULT
$	67,139.00	10.0%	Tier Two rent to owner (10% of gross revenue)
$	**536,064.52**	**79.8%**	**TOTAL COST INCLUDING RENT**
$	**671,390.00**	**100.0%**	**PROJECTED GROSS REVENUE**
$	**135,325.48**	**20.2%**	**NET AFTER ALL COSTS**

*** Billed to tenant; copies to owner**
**** Tier One: paid by tenant at actual cost**
***** Placeholder until the septic service contract is quoted**
Stabilized year: 70% occupancy at $195 a night. Year 1 is projected at 75% and Year 2 at 90% of stabilized revenue.